

The measure of earnings employed in the enterprise multiple—operating earnings, whether defined as EBIT or EBITDA—also contains more information than net income, and so should give a more full view of the firm's income. Neither EBIT nor EBITDA are impacted by non-operating gains or losses, where net income is impacted by non-operating losses. Non-operating losses are important over a full operating cycle, but muddy the picture in any given year. Loughran and Wellman view operating earnings—EBIT or EBITDA—as a more transparent and less easily manipulated, short-term measure of profitability, making a comparison of companies within and across industries possible. Critics point out that EBIT and EBITDA are measures of accounting profit and not a substitute for cash flow, which is where the rubber really hits the road. It would therefore make sense for any valuation proceeding from an enterprise multiple analysis to include some consideration of a company's operating cash flow, and the extent to which accounting profits translate into cash generation.

Like a careful value investor, the enterprise multiple prefers companies holding cash and abhors companies with high levels of unserviceable debt. In practice, that tendency can be a double-edged sword. Enterprise multiple screens will contain many small “cash boxes”—companies with large net cash holdings relative to their market capitalization—often because the main business has been sold, or the business is a legacy in run-off that lingers like our vestigial appendix. Such stocks tend to have limited upside. On the flip side, they also have happily virtually no downside. In this way they are vastly superior to the highly leveraged companies favored by the price-to-book value ratio, which tends to serve up heavily leveraged slivers of somewhat discounted equity. The enterprise multiple is a more complete measure of relative value than the academic favorite price-to-book value, or any of the other common price-to-value ratios. The enterprise multiple includes debt as well as equity, contains a clearer measure of operating profit, and captures changes in cash from period to period. The empirical returns to portfolios created using the enterprise multiple bear out this rationale. Why does the simple enterprise multiple outperform the Magic Formula, the enterprise multiple and the return on invested capital combined? How can we reconcile the theory behind the deep value strategy—which amounts to fair companies at wonderful prices—with the theory behind Warren Buffett's wonderful companies at fair prices strategy?

Mean Reversion and Return on Invested Capital

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